Executive Summary: Buyer Segmentation for Parcl

What we did

We grouped 2,000 buyers of 7,305 sold units ($2.52B total) into four segments using K-Means clustering, combining who they are (age, satisfaction, financing, channel) with what they bought (units, spend, price per sq ft). A live dashboard lets marketing filter by country, region, purpose and client type.

Four segments

Segment	Clients	% revenue	Profile	Action
Younger Satisfied	701	35%	Age ~43, satisfaction 4.1, most loan use	Referral and financing offers
Senior Established	689	34%	Age ~73, few companies, fewer investors	Trust, downsizing offers
Dissatisfied Mid-Life	559	27%	Age ~47, satisfaction 1.4/5	Service recovery now
Multi-Unit Portfolio	51	5%	7.3 units, $2.4M each (2x avg)	Account management

Key drivers

• **Behavioural:** purchase volume (units, spend) and satisfaction separate buyers far more than declared purpose, geography or channel.

• **Demographic:** age splits the satisfied majority into younger (loan-reliant, international) and senior (lower loan use, mostly domestic) buyers.

• **Declared investor status is a weak signal:** 31% of buyers are investors, but they buy the same volume and spend as home buyers.

Financial impact (illustrative)

The dissatisfied segment represents about **$677M** of purchase value. The figures below are **assumptions for planning, not measured results**: if a service-recovery programme lifted repeat purchase or referral value by even 2% of this base, it would be worth ~$14M, against a modest per-client outreach cost (e.g. $500 x 559 = $280k), an indicative return of ~48x. Portfolio buyers are 2.5% of clients but 4.9% of revenue; a 10% uplift in their units would add ~$12M. Actual uplift should be validated with an A/B pilot before scaling.

Governance and data implications

• **Treat segments as soft groupings.** Cluster separation is modest (silhouette 0.12). Use them to prioritise outreach, not to automate decisions about individuals.

• **Fairness and privacy:** age, gender and nationality must not drive pricing, credit or access to units. Segment by behaviour and need; exclude protected attributes from any offer-eligibility logic.

• **Data investment:** capture income band, source of funds, prior ownership and satisfaction timestamps to sharpen segments; refresh the model quarterly and monitor segment drift.

• **Ownership:** assign a business owner to each segment's KPI (satisfaction, units per client, referral share).

Next steps

(1) Launch a 90-day service-recovery pilot on the dissatisfied segment with a control group. (2) Assign relationship managers to portfolio buyers. (3) Pilot lender-partnered offers for younger buyers. (4) Enrich the client data and re-cluster.